

Poverty Alleviation and Unemployment

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WHAT IS POVERTY?

As per United Nations' definition:

Poverty entails **more than the lack of income and productive resources** to ensure sustainable livelihoods. Its manifestations include **hunger and malnutrition, limited access to education and other basic services, social discrimination and exclusion, as well as the lack of participation in decision-making.**

Out of the 17 SDGs (which were born at the United Nations Conference on Sustainable Development in Rio de Janeiro in 2012), SDG 1 AND SDG 2, with their sub-targets, aim at poverty eradication in its varied forms.

The graphic for SDG 1 features a red header with the UN logo, 'SUSTAINABLE DEVELOPMENT GOALS', and the goal icon '1 NO POVERTY'. The main image shows two young children in a dusty, impoverished setting, one holding a small object. A red banner at the bottom contains the text: 'DONATE WHAT YOU DON'T USE. More than 700 million people still live in extreme poverty.'

Goal 1: No Poverty

The graphic for SDG 2 features a yellow header with the UN logo, 'SUSTAINABLE DEVELOPMENT GOALS', and the goal icon '2 ZERO HUNGER'. The main image shows a woman in a red headscarf holding a bowl of green beans in a rural setting. A yellow banner at the bottom contains the text: 'WASTE LESS FOOD AND SUPPORT LOCAL FARMERS. A third of the world's food is wasted, yet 821 million people are undernourished.'

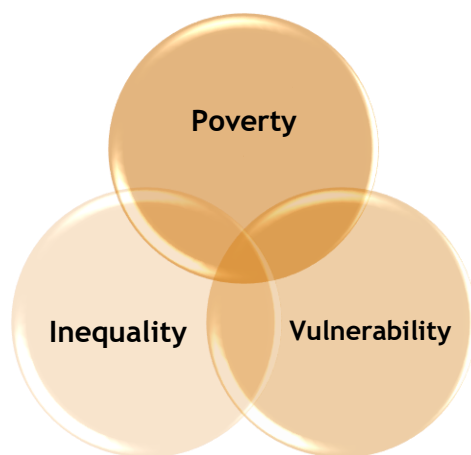
Goal 2: Zero Hunger

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Correlation between Poverty, Inequality and Vulnerability:

The phenomenon of poverty is correlated with that of inequality and vulnerability.

For example, according to the World Bank, **the world's poor are more likely to be malnourished**, they **have less access to services** like education, electricity, sanitation and healthcare, and they are **more vulnerable to conflict and climate change**. Understanding poverty is thus fundamental to understanding how societies can progress.



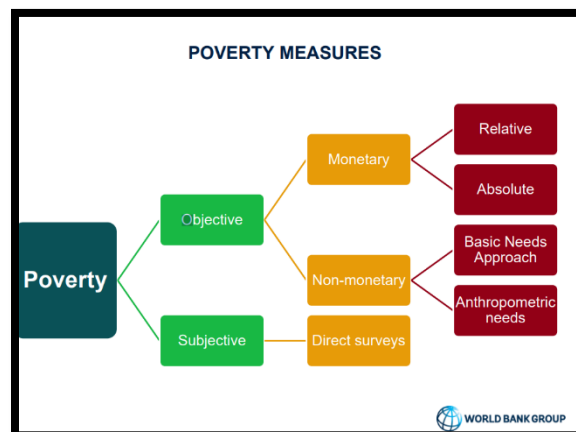
- **Inequality** focuses on the distribution of income or consumption, across the whole population.
- **Vulnerability** is defined as the risk of falling into poverty in the future, even if the person is not necessarily poor now. Vulnerability is often associated with the adverse effects from calamities, income fall, financial crisis etc.

According to the World Bank, **Poverty is “pronounced deprivation in well-being”**. The poor are those who do not have enough income or consumption to put them above some adequate minimum threshold.

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DIMENSIONS OF POVERTY:

Poverty is multidimensional: It goes beyond the traditional income base calculation. There are different approaches and dimensions to poverty. These approaches give result to different types of poverty.



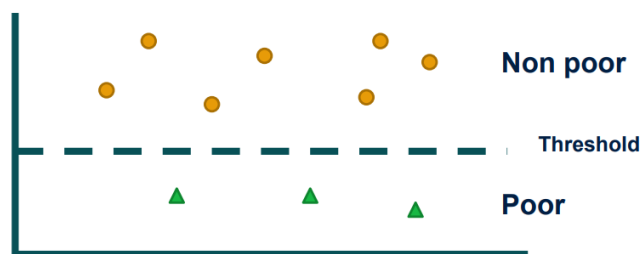
Absolute Poverty:

It is **the extreme kind of poverty involving the chronic lack of basic food, clean water, health and housing.**

People in absolute poverty tend to struggle to live and experience a lot of child deaths from preventable diseases like malaria, cholera and water-contamination related diseases. **This type is usually long-term in nature,** and often handed to them by generations before them. **This kind of poverty is usually not common in the developed world.**

ABSOLUTE POVERTY

- Insufficient monetary resources to purchase the minimum consumption basket socially accepted.
- The “poor” are those individuals whose expenditure (or income) are below what is socially acceptable as a minimum living standard.



Source: World Bank Group

Poverty Headcount Ratio/ Poverty Ratio: Poverty headcount ratio is the percentage of the population living below the national poverty line(s).

Note: Since this approach to measure absolute poverty is concerned with counting the number of persons or heads, this is generally referred to as **Head-Count Ratio approach** to measure absolute poverty.

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$$\text{Formulae: Head-Count Ratio (HCR)} = H/N$$

Where, H is number of persons below the absolute poverty line, N is the total population.

Relative Poverty: This kind of poverty measures poverty in relation to someone or something. Relative poverty might not be long-term in nature. A person need not necessarily be absolutely poor. One person can be relatively poor even if that person has access to all basic services and amenities.

Relative poverty reflects income inequalities in a country. Income inequalities in a society are generally measured through estimating the value of **Gini coefficient**.

Gini coefficient:

The Gini coefficient is a **measure of inequality** of a distribution. It is defined as a ratio with **values between 0 and 1**.

It was developed by the Italian statistician Corrado Gini.

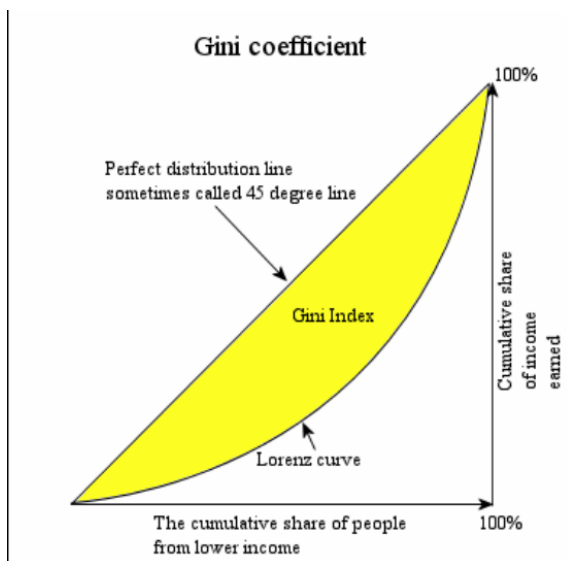
Here, 0 corresponds to perfect income equality (i.e. everyone has the same income) and 1 corresponds to perfect income inequality.

The Gini index: It is the Gini coefficient expressed as a percentage, and is equal to the Gini coefficient multiplied by 100.

$$\text{Gini coefficient} \times 100$$

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The Lorenz Curve: It is the graphical representation of a graphical representation of income inequality or wealth inequality.



The **numerator** is the area between the Lorenz curve of the distribution and the uniform distribution line (A), and the **denominator** is the area under the uniform distribution line (B).

$$\text{Gini coefficient} = A / (A+B)$$

Situational or Transitory poverty:

It is generally caused by a **sudden crisis or loss** and is **often temporary**. Events causing situational poverty include environmental disasters, divorce, or severe health problems.

Generational or Chronic Poverty:

It occurs in families where at least two generations have been born into poverty. Families living in this type of poverty are not equipped with the tools to move out of their situations.

The 'Capabilities approach' of Amartya Sen:

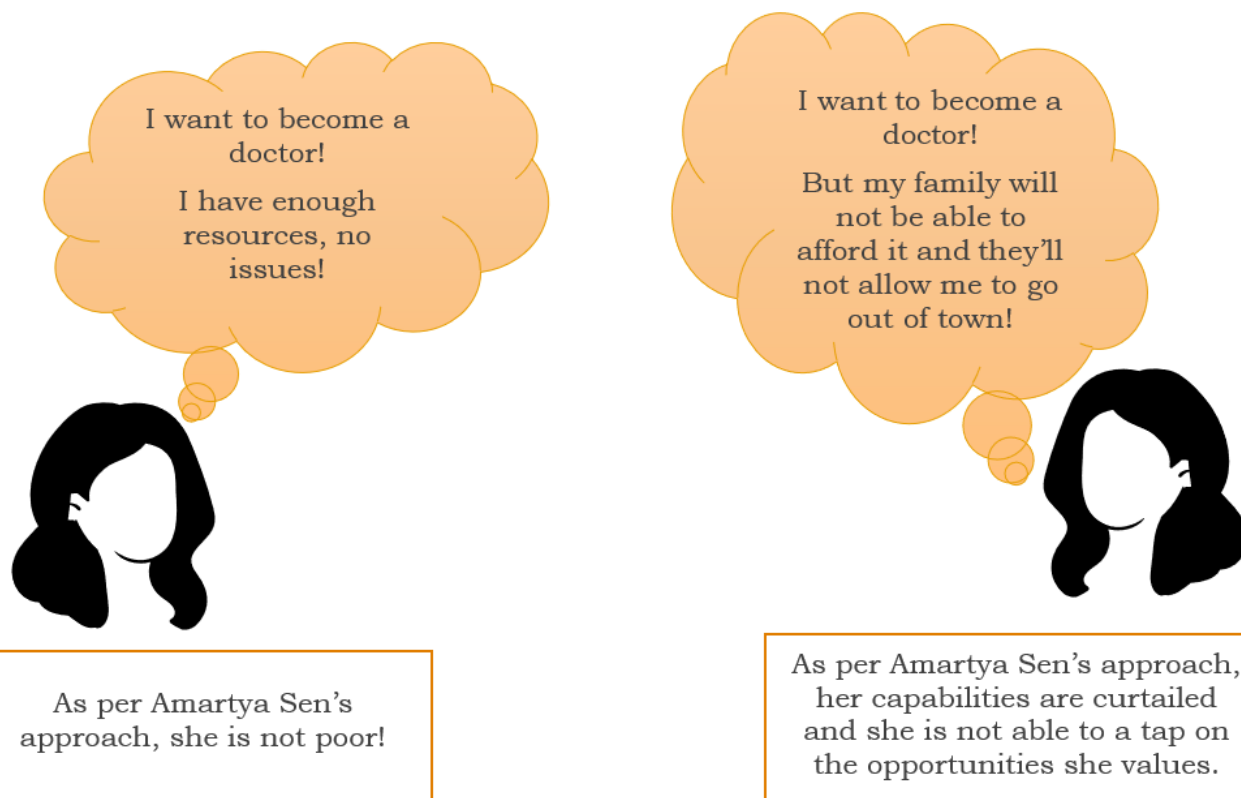
Rather than income, resources, utility or happiness, Sen proposed that poverty and wellbeing should be considered in terms of people's **'functionings'** and **'capabilities'**.

Amartya Sen argued that the objective of development should be the expansion of human capabilities rather than economic growth.

In Sen's Capability Approach, **functionings refer to the 'beings' and 'doings' that people both value and have reason to value**, such as attending school, or accessing medical services.

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Capabilities are real freedoms to achieve those functionings.



POVERTY LINE:

Poverty line for a country is the minimum threshold below which, a person's minimum basic needs cannot be met, at the contemporary level of country's economic and social circumstances.

The conventional approach to measuring poverty is to specify a **minimum expenditure (or income)** required to purchase a basket of goods and services necessary to satisfy basic human needs. **This minimum expenditure is called the poverty line.**

Poverty line basket or PLB: **The basket of goods and services necessary to satisfy basic human needs** is the poverty line basket or PLB.

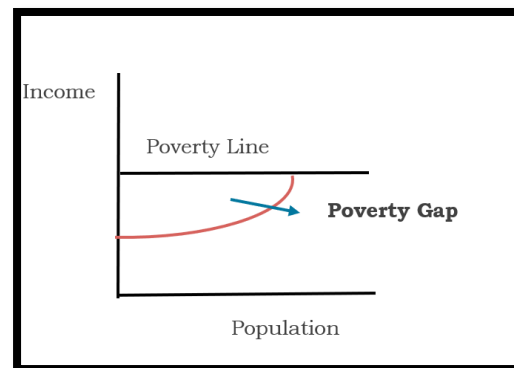
Poverty rate: It is **the ratio of the population** whose income falls below the poverty line.

The poverty line is taken as **half the median household income of the total population**. The population affected is broken down by broad age groups: **child poverty** (0-17 years old), **working-age poverty** (18-65 years old) and **elderly poverty** (66 year-olds or more). Note that countries with the same poverty rates may differ in terms of the relative income-level of the poor.

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The poverty gap: The poverty gap is the ratio by which the mean income of the poor falls below the poverty line.

According to the World Bank, poverty gap is the **mean shortfall from the poverty line** (counting the non-poor as having zero shortfall), expressed as a percentage of the poverty line. **Poverty gap measures the intensity of poverty.** It shows the extent to which individuals on average fall below the poverty line.



Global Poverty Indicator:

International poverty line (IPL):

According to the World Bank, the **new global line is updated to \$3.00 per person per day (2021 PPPs), which replaces the previous \$2.15 poverty line based on 2017 PPPs.**

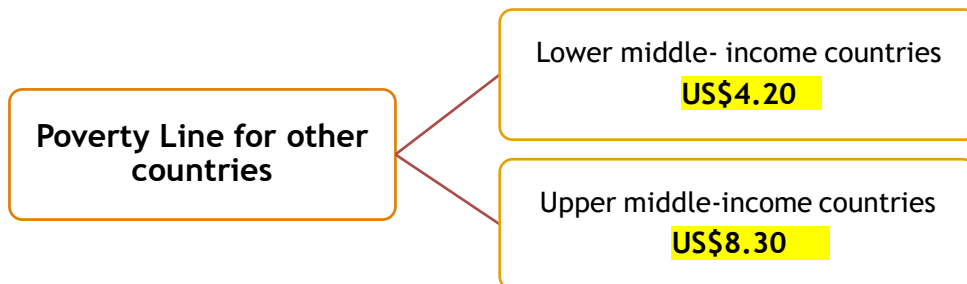
Note: Rise in the International Poverty Line **reflects an increase in the costs of basic food, clothing, and shelter needs in low-income countries between 2017 and 2021**, relative to the rest of the world.



Source: World Bank

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Other set of Poverty Line:



In 2015, the **World Bank convened a group of eminent economists led by Prof. Sir Anthony Atkinson** to advise the Bank on the best methodology to measure and monitor global poverty **until 2030**, the target date of the World Bank's first corporate goal to end extreme poverty.

Poverty in India: Causes:

The causes of poverty in Indian economy can be listed as follows:

1. **High growth rate of population**
2. **Landless labor**
3. **Low productivity**
4. **Low food production**
5. **Illiteracy**
6. **Political system and corruption**
7. **Lack of job opportunity**
8. **Inequalities of income**
9. **Migration**
10. **Regional Disparities**
11. **Excessive population pressure on Agriculture**
12. **Lack of capital**
13. **Lack of Vocational Education and Training**

Measurement of poverty in India:

Poverty estimation methodology has **undergone an evolution in India.**

For the **construction of the PLB**, various expert groups appointed by the Planning Commission were depending upon the **Household Consumption Expenditure** data compiled by the NSSO.

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It should be noted that ‘**determination of poverty line**’ and ‘**identifications of poor/beneficiary**’ are almost different things.

Poverty line **was determined by Planning Commission** on **the basis of data provided by ‘National Sample Statistical Organization’ (NSSO)**. NSSO conducts a survey at 5-year interval of a mere sample to capture consumption patterns of various sections of society.

- ❑ The Household Consumption Expenditure Survey (HCES) is designed to collect information on consumption of goods and services by the households. The information collected in HCES helps to understand the consumption and expenditure pattern, standard of living and well-being of the households.
- ❑ The National Sample Survey Office has been conducting this survey since its inception in 1950. The survey of 2022-23 is the latest one on the subject.
- ❑ The current survey (HCES: 2022-23) has been conducted during the period August, 2022 to July, 2023 in whole of the Indian Union except a few inaccessible villages in the Andaman and Nicobar Islands.
- ❑ The survey has been spread over 8,723 villages covering 1,55,014 households in the rural sector and 6,115 blocks covering 1,06,732 households in the urban sector.

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THE EARLIEST ESTIMATION OF POVERTY LINE:

Subsistence Diet Poverty Line:

One of the **earliest estimations of poverty** was done by **Dadabhai Naoroji** in his book, **‘Poverty and the Un-British Rule in India’**.

He formulated a poverty line ranging from **Rs 16 to Rs 35 per capita per year**, based on 1867-68 prices. The poverty line proposed by him was based on the cost of a **‘subsistence diet’** consisting of **‘rice or flour, dhal, mutton, vegetables, ghee, vegetable oil and salt’**.

National Planning Committee, 1938:

In 1938, the **National Planning Committee (NPC)** estimated a poverty line **ranging from Rs 15 to Rs 20 per capita per month**. Like the earlier method, the NPC also formulated its poverty line based on **‘a minimum standard of living perspective in which nutritional requirements are implicit’**.

In 1944, the authors of the **‘Bombay Plan’** suggested a **poverty line of Rs 75 per capita per year**.

The Working Group of 1962:

- The earliest poverty line in post-independence India was **Rs. 20 (rural) and Rs.25 (urban) per capita per month at 1960-61 prices**. This was first crated by planning commission to determine desirable minimum level of expenditure required to make a living.
- Recommended **‘national minimum consumption expenditure’** for a household of five
 - **Rural – Rs 100/ month (Rs 20/ Person)**
 - **Urban – Rs 125/ month (Rs 25/ Person)**
- It **excluded Health and educational expenditure** on assuming that it is provided by state.
- Used recommendation on **‘Balanced diet’** by Indian council of Medical Research.

YK Alagh Task Force of 1979:

- Poverty line of 1962 was used during 1960’s and 1970’s at both National and state level. But it attracted intense debate for its low figures. In response taskforce under **Dr. Y.K. Alagh** was created to revisit poverty line.
- A founding work for poverty estimation in the country occurred with the recommendations of the YK Alagh Task Force appointed by the Planning Commission in July 1977 and **made recommendations in 1979**.

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- The **Task Force's report** was titled as **“Projections of Minimum Needs and Effective Consumption Demand”** provided a **quantitative measure** of poverty by estimating a **calorie-based consumption basket**.
- **Average calorie requirements** were estimated, separately for the all -India rural and urban areas on the recommendation of Nutrition Expert Group. This resulted in different 'Poverty line basket' for urban and rural areas.
 - **Rs.49.09 per capita per month** was associated with a calorie intake of **2400 per capita per day in rural areas and,**
 - **Rs.56.64 per capita per month** with a calorie intake of **2100 per day in urban areas** at 1973-74 prices.
- This **'Monthly Per Capita Expenditure'** was termed as **poverty line**.
- This poverty line was updated by the Planning **Commission till 1993** until the setting up of a new expert group for devising a new methodology for poverty estimation.

Expert group 1993 (Lakdawala)

In its report, submitted **in 1993**, this committee **retained the separate rural and urban poverty lines recommended by the Alagh Committee at the national level** and made the following suggestions:

1. **Consumption expenditure** should be calculated based on **calorie consumption** as earlier;
2. **State specific poverty lines** should be constructed and these should be updated using the Consumer Price Index of Industrial Workers (CPI-IW) in urban areas and Consumer Price Index of Agricultural **Labour (CPI-AL) in rural areas**; and
3. **Discontinuation of 'scaling' of poverty estimates** based on National Accounts Statistics. This assumes that the basket of goods and services used to calculate CPI-IW and CPI-AL reflect the consumption patterns of the poor. The committee recommended relying more heavily on data from household surveys conducted by the **National Sample Survey Office (NSSO)**. This change aimed to provide a more accurate reflection of the actual consumption patterns and living conditions of the poor.

The **Lakdawala methodology and poverty lines formed the basis of poverty estimates** nationally and across states **until 2004-05**.

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Expert Group 2005 (Tendulkar):

In 2005, another expert group to review methodology for poverty estimation, chaired by **Suresh Tendulkar**, was constituted by the Planning Commission to address the following three **shortcomings of the previous methods**:

- (i) consumption patterns were linked to the **1973-74 poverty line baskets (PLBs)** of goods and services, whereas there were significant changes in the consumption patterns of the poor since that time, which were not reflected in the poverty estimates;
- (ii) there were **issues with the adjustment of prices for inflation**, both spatially (across regions) and temporally (across time); and
- (iii) **earlier poverty lines assumed that health and education would be provided by the State and formulated poverty lines accordingly.**

It recommended four major changes:

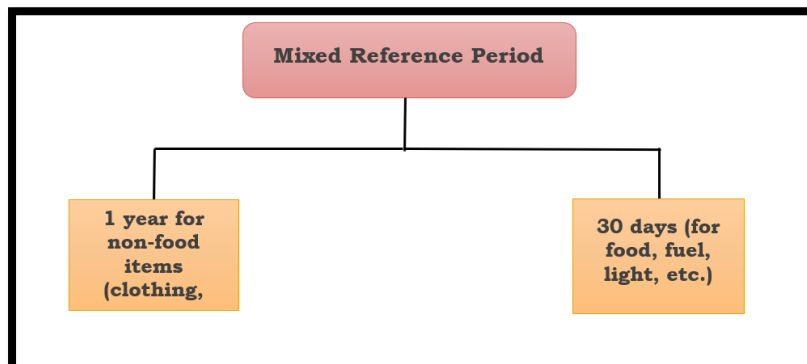
- (i) **a shift away from calorie consumption-based poverty estimation;**
- (ii) **a uniform poverty line basket (PLB) across rural and urban India;**
- (iii) **a change in the price adjustment procedure** to correct spatial and temporal issues with price adjustment; and
- (iv) **incorporation of private expenditure on health and education** while estimating poverty.

The Committee recommended **using Mixed Reference Period (MRP)** based estimates, as opposed to **Uniform Reference Period (URP)** based estimates that were used in earlier methods for estimating poverty.

During previous methodologies, a '**uniform reference period**' was used that included **30 days** just **before the survey for all food and non-food items.**

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But Tendulkar group **changed 'reference period' to past 'ONE YEAR' for 5 non-food items viz., clothing, footwear, durable goods, education and institutional medical expenses. For other items, like food, light, etc. 30 days reference period was retained. This is called 'Mixed reference period'.**



The **Committee computed new poverty lines for rural and urban areas of each state. It concluded that the all-India poverty line was Rs 446.68 per capita per month in rural areas and Rs 578.80 per capita per month in urban areas in 2004-05.**

National poverty lines (in Rs per capita per month) for the years 2004-05, 2009-10 and 2011-12:

Year	Rural (Rs. per capita per month)	Urban (Rs. per capita per month)
2004-05	446.7	578.8
2009-10	672.8	859.6
2011-12	816.0	1000.0

It is often considered that **Tendulkar Poverty line** is equivalent to **World Bank's poverty line in PPP terms**. This purely incidental and poverty line calculated by Tendulkar had nothing to do with World Bank methodologies. **But government often defended poverty line claiming that it is as per global standards.**

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Expert group, 2012 (Rangarajan)

Expert group submitted its report in 2014 giving 'per capita monthly expenditure' as Rs. **972 in rural areas** and **Rs. 1407 in urban areas** as poverty line.

It preferred to use 'Monthly expenditure of Household of five' for the poverty line purpose which came out to be **Rs 4860 in rural areas** and **Rs. 7035 in urban areas**. It argued that considering expenditure of household is more appropriate than that of individuals. **Living together brings down expenditure and as expenses such as house rent, electricity etc. gets divided into 5 members.**

For normative levels of adequate nutrition – average requirements of calories, proteins and fats based on ICMR norms, differentiated by age, gender and activity for all-India rural and urban regions is considered.

1. **Calories requirement** – **2090 kcal in urban areas** and **2155 Kcal in rural area**

2. **Proteins** – for rural areas **48 gms/day** and for urban areas **50 gms/day**

3. **Fat** – for urban areas **28 gms/day** and for rural areas **26 gms/day**

- As per these estimates the **30.9% of the rural population** and **26.4% of the urban population** was below the **poverty line in 2011-12**.
- The **All-India poverty ratio was 29.5%**.
- **In rural India, 260.5 million individuals were below poverty and in urban India 102.5 million were under poverty. Totally, 363 million were below poverty in 2011-12 which is approximately 93 million higher than the Tendulkar estimate of 270 million.**

Committees	Tendulkar	C. Rangarajan
Set Up By	Planning Commission	Planning Commission
Set Up In	2005	2012
Submitted Report	2009	2014

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Poverty Estimation Method	Per capita Expenditure Monthly	Monthly Expenditure of family of five.
Urban Poverty Line Per Day per Person	33	47
Urban Poverty Line Per Month per Person	1000	1407
Urban Poverty Line Per Month, Family of Five Members	5000	7035
Rural poverty line Per Day Per Person	27	32
Rural poverty line (Rs) per Month Per Person	816	972
Rural poverty line (Rs) Per month Family of Five Members	4080	4860
BPL (Below Poverty Line) In crore	27 crores	37 crores
Calorie Expenditure	only calorific value in Expenditure	Calorie +Protein + fat
Calories In Rural Areas	2400	2155
Calories In Urban areas	2100	2090
Main Focus Areas	Only counts Expenditure on food, health, education, clothing.	1-food 2- non-food items such as education, 3-healthcare, 4-clothing, 5-transport 6. Rent

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- **Official poverty line of India** is as per Tendulkar committee recommendations and **21.9%** of India's population is below poverty line as per Tendulkar committee. **25.4%** rural and **13.7%** urban population under poverty line.

As per the latest SBI Report:

New estimated poverty line is **Rs 1632 in rural** area and **Rs 1944 in urban** areas in 2023-24.

There has been a **remarkable decline in Rural Poverty** estimated **at 4.86% in FY24** and **Urban Poverty estimated at 4.09%**. The sharp decline in rural poverty ratio is on account of higher consumption growth.

Urban rural gap as a % of rural consumption is **on a declining trend**. It has declined from 88.2% in 2004-05 **to 69.7%** in 2023-24.

The consumption inequality has **declined from** 0.266 and 0.314 in 2022-23 to **0.237 and 0.284**, respectively in Rural and Urban India.

Gini coefficient of total consumption expenditure during 2011-12 to 2023-24

Sector	2011-12	2022-23	2023-24
Rural	0.283	0.266	0.237
Urban	0.363	0.314	0.284

Source: HCES